



REFINITIV STREETEVENTS

EDITED TRANSCRIPT

HALF YEAR 2024 UNITED OVERSEAS BANK LTD EARNINGS
PRESENTATION

EVENT DATE/TIME: August 01, 2024 / 1:00AM UTC



CORPORATE PARTICIPANTS

- **Wendy Wan** *United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand*
- **Wee Ee Cheong** *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*
- **Wai Fai Lee** *United Overseas Bank Ltd - Chief Financial Officer*

PRESENTATION

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Good morning, and welcome to UOB's first half 2024 results briefing. I'm Wendy Wan from the Group Strategic Communications Team and I will be your emcee for today. This morning, we have Mr. Wee Ee Cheong, UOB's Deputy Chairman and CEO; and Mr. Lee Wai Fai, our CFO, to present the results.

(Event Instructions) Without further ado, I now pass the time to our CEO. Mr. Wee, please.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

Thank you. Good morning. (spoken in foreign language)

Thank you for joining us today. I'm sure all of you noticed global growth continues to be weighted down by geopolitical tensions and higher interest rates. While we expect higher for longer interest rates to stay, they have likely faded. Recent US inflation data has strengthened the case for the US Fed to cut rates easier. A gradual easing of interest rates will be good for growth in Malaysia.

In the second quarter, we have seen a pickup in commercial activities. Lower interest rates should propel this trend further. Closer to home, [Pasieng] continues to be resilient, supported by robust economic fundamentals and supply chain diversification, which has resulted in a steady inflow of foreign direct investment into the region.

Amid an improving micro-outlook, we achieved a good set of financial performance this quarter. Our core net profit was relatively stable year on year at SGD3.1 billion for the first half of the year, and SGD1.5 billion for the second quarter. Overall, we are seeing positive trends across our core businesses quarter-after-quarter.

Net interest income grew from last quarter. Margin improved as we lowered the cost of funds, and we saw loan growth. Second quarter, 2% quarter on quarter and 3% year on year across the board. E-income was near historical high, surpassing SGD600 million with growth across loan and trade-related fees, wealth management and credit card fees. In the first half of this year, E-income grew double-digit year on year. Customer-related treasury income was stable.

Our cost-to-income ratio improved. From second quarter, 41.8%, first quarter, 41.8%, and absolute corporate expenses is down 2% quarter on quarter. From the next quarter, the one-time integration cost from our city acquisition will be halved as we move towards integration in Vietnam. Going forward, we will focus on extracting both revenue and cost synergies from this portfolio, along with the other tech and system capabilities that we have built over the last few years.

Asset quality remains resilient, with NPR ratio at 1.5% and credit cost at 24 basis points. Our balance sheet continues to be strong, with healthy levels of capital and funds. And with that, we are pleased to announce that the Board has recommended an interim dividend of SGD0.88 per share, representing a payout ratio of 51%.

Now, let me give you some update on our core business sector. Our retail banking business grew steadily across various revenue drives. Wealth management continues with positive momentum, delivering the strongest quarter over the past few years. With more conversions from fixed deposits to well-management products across different product groups, especially in bonds, structured

products, and unit trusts, for a balance-sharing health state.

Wealth sales are also growing steadily through our digital channel. We refreshed the wealth offering in Singapore TMRW app in April. Since then, our digital wealth sales volume in Singapore increased almost 250% year on year.

In Thailand, we also launched a comprehensive suite of onshore and offshore funds on TMRW in April. Over the past two months, we have seen strong momentum, with 40% of fund sales transacted digitally. With this, our fund sales volume in Thailand doubled.

Net new money continues to grow, bringing our total AOM to SGD182 billion, or 10% higher year on year. Credit card fees sustained its growth this quarter. Year on year, we are up 35%. Quarter on quarter, I think we are up 10%. Credit card fees, boosted by continuing consumer confidence and spending.

Our recent partnerships with the Singapore Tourism Board and Marina Bay Sands solidifies our leadership position in the live sales fields. Just two weeks ago, we signed an MOU with South Korean company Woori Card. UOB cardholders across ASEAN will enjoy card privilege in South Korea, vice versa for Woori Card customers in our key ASEAN markets by the end of this year.

In terms of concerts, I'm sure all of you are likely to hear, but we continue to expand our offering. We have a top singer [from army], just recently, a show in Singapore, and Andy Lau from Hong Kong. We will continue to offer more lifestyle experiences for our customers.

Deposit balances remain stable. Our mortgage sales volume picked up over the last quarter, the sales volume up 42% quarter on quarter. You may notice that the primary market is slow, but we are focusing on secondary market as well as we try to retain as much mortgage as possible when people want to do the remit. So the volume actually very encouraging, pick up 42% quarter on quarter.

Post our city integration in Malaysia, Indonesia, and Thailand, our customer base across the region continues to grow. We are on track to integrate our last portfolio in Vietnam in 2025. We will continue to sharpen our focus on achieving cross-sell synergies by uplifting customer spend, growing deposit balances and expanding the well-managed business.

Now on group wholesale business, our wholesale business performed well. With broad-based growth, loan growth momentum picked up over the last quarter in trade and term assets and across geographies. Loan drawdown hit its highest level in four quarters.

Loan and trade-related fees grew 19% year on year in tandem with the pick-up in loan and mortgage book during the quarter. We are delivering our connectivity strategy. Cross-border income now make up 25% of wholesale banking revenue, while transaction banking income contribute 53% of wholesale banking revenue.

Connecting businesses across the fast-growing ASEAN region is one of our key focus. One recent example is in Malaysia. Given our extensive footprint on both sides of the crossway, we are excited about the progress of Johor-Singapore Special Economic Zone.

Last month, we hosted Johor Menteri Besar, the Chief Minister, at our UOB penthouse, where discussions were held between the Johor dedication and regional business leaders. The new economic zone will benefit multiple sectors in both countries. In fact, we have financed some of the early movers in the Special Economic Zone, including data centers.

Last week, we hosted another closed-door session with officials from Malaysia, Finance, Ministry, and Investment. As an ASEAN-focused bank, UOB is well-positioned to support business growth in our key markets across the region.

Moving on to sustainability, we continue to support SMEs on their green journey. Recently, we partnered Enterprise Singapore to launch the Sustainability-Linked Advisory, Grants, and Enablers or the SAGE Programme. To this, we want to help SMEs that sustainability performance target a simplified financing solution for them. Overall, we are seeing strong demand in sustainable state finance.

As the green economy continues to grow and evolve, UOB will proactively support our customers to capture new opportunities. In this year's Euromoney Awards for Excellence, UOB and I are very proud to be recognised as the best bank for SMEs worldwide, in Asia and Singapore. We remain steadfast in supporting our customers in their decarbonization efforts.

As we move into the second half of 2024, we are cautiously optimistic and will stay vigilant and disciplined. There are uncertainties in the horizon, particularly with the upcoming election in the US and the economic challenges in China and Thailand. While this may present hurdles, we are confident in our ability to navigate them with our prudent method.

Our guidance for this year remains unchanged. Low single-digit loan growth, double-digit e-growth left by our retail franchise, total income growth to be positive for 2023. Our cost-to-income ratio at around 41% to 42% of continued cost disappeared, and total credit costs at the lower end of 35 to 30 basis points. I look forward to seeing some of you at our corporate day in Kuala Lumpur two weeks' time. Our team will elaborate more on our group targets and plan for the next year.

Now, I'll pass the call.

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Good morning, everyone, and welcome to the call today.

Our second-quarter core profit was stable at SGD1.5 billion, a 5% decrease from the previous quarter due to lower investment income. Our franchise activities in loans and fees picked up. Against the same quarter last year, core profit was 1% down. Net interest income rose 2% quarter on quarter. Our margin increased 3 basis points to 2.05% on improved funding costs, coupled with loans growth of 2%.

Our fees were near record level. We registered the strongest was in Q1 2022. Over a two-year period, we have come back, alongside with strong loans and trade-related fees.

Asset quality remained resilient, with NPL unchanged at 1.5%, and total credit costs on loans at 24 basis points. Our capital and funding position remained strong, with CET1 at 13.4%, and you know that this falling the dividend payment that can [only do] in the second quarter.

Our Board has declared an interim dividend of SGD0.88 per share. Some of the detailed numbers say core profit for the second quarter was 5% lower at SGD1.5 billion, as trading and investment income is of last quarter high. If we include the one-off costs relating to city integration, net profit would have been SGD1.4 billion.

First half core profit saw a decline of 1% to SGD3.1 billion, due mainly to lower net interest income from lower margin. Our one-off integration costs were tabled off in the coming quarters, as we have completed the operational integration of [Citi] in Malaysia, Indonesia and most recently in Thailand.

I'll just touch briefly on the business segment performance (inaudible)

Group retail registered a total income of SGD2.7 billion for the first half of 2024. In constant currency terms, this was 1% higher than a year ago. We saw double-digit growth across upper areas including [CASA], card billings, wealth and treasury products, which helped cushion the competitive effect on mortgage.

Total income for group wholesale banking is 4% to SGD3.4 billion, amid a keen competition for quality assets throughout the industry. The competitive pricing impact was offset by strong investment banking fees, steady momentum growth in CASA, and trade loans.

On margins, our net interest income grew 2% this quarter, and net interest margins improved 3 basis points to 2.05%, along with a 2% growth for loans. Loans' margins widened 4 basis points, supported by lower deposit costs, while interbank and securities margins sustained at 1.1%, with proactive equity management. Our fees crossed the SGD600 million mark, to near historical highs of SGD680 million for the quarter.

Loans' registered fees were boosted by increased loans demand and a series of strong investment banking needs. Wealth momentum picked up, particularly in bonds and structured notes, as investor confidence deepens. Year on year, first-half net fees increased 11%, with broad-based double-digit growth across loans-related wealth and credit cards.

Our customer treasury income remained strong at SGD216 million for the quarter, with steady retail demand for bonds and structured products across Singapore and the ASEAN floor. Other trading and investment income normalized from last quarter high bond sales gain, coupled with lower income from gold commodity trading.

Our core expenses for the first half were marginally higher than a year ago, as we maintained very tight cost discipline while investing for franchise growth and digital capabilities. Cost-to-income ratio was stable at 41.8% year to date, and for the quarter, as expenses add pace with income, including one-off costs relating to city integration, cost-to-income would have been 44.1%. One-off costs are tapering off as we have completed the operational merger of cities in the three bigger ASEAN markets.

On asset quality, the overall asset quality for our loans portfolio was broadly stable, with NPL ratios unchanged at 1.5%. Total credit cost was stable at 24 basis points. Increased inspection allowance was largely due to some of the operational day-one issues in Thailand. I think we have addressed the customer-related restrictions, and we expect credit costs to improve in the next few quarters.

As at June 2024, the group total allowance edged down to SGD4.9 billion, of which SGD2.9 billion was in general allowance. This was largely due to write-off of a few chunky, vulnerable accounts in the region. For the more technical part, when we write off NPLs, we actually reverse some of the GP that we set today. But that doesn't mean that our GP, and in some of you, the MO, has released.

I think we continue to set aside general allowance for the overall credit portfolio. Hence, performing loans coverage stayed relatively stable at 0.9%, along with NPA coverage at 98% or 214% after taking collateral into consideration.

Loans. I think loans finally saw some lights. We grew SGD5 billion, or 2%, from the last quarter. This was driven by wholesale trade, alongside with the retail mortgage that Ee Chong highlighted earlier.

Customer deposits were steady, as retail CASA expansion more than offset the drop in the higher cost of FDs. Overall, CASA ratio increased to 51.5% amid healthy CASA momentum in Singapore. Our liquidity position remained sound, with LCR at 149% and NSFR at 118%, both well above the minimum regulatory requirements.

Our CET1 position remained healthy at 13.4%. In appreciation of the support for our shareholders, the Board has declared an interim dividend of SGD0.58 a share. This is higher than the first half of SGD0.35 last year. We are committed to a consistent and sustainable return to our shareholders as our profit grows.

With that, I will hand my presentation back to Wendy.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you, Mr Lee. We will now move on to the Q&A.

QUESTIONS AND ANSWERS

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

(Event Instructions)

Unidentified Participant 1

Hi, this is [Chen Yapon Chen Jeren] from Bloomberg. Can I ask Mr. Lee to help clarify the integration cost comment on Citi? You said it would be half from the third quarter. Is that right? So half from the third quarter?

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

The second quarter.

Unidentified Participant 1

From the second quarter.

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

So I think, we showed the number. So I think in the disclosure, we showed \$61 million because in the second quarter, we still had Thailand (inaudible)

So going forward in the third quarter until maybe the early part of next year, we are only left with Vietnam. Vietnam is a smaller portfolio and that will cost us \$31 million. So that says probably \$30 to \$40 million is what you will see in the coming quarters.

Unidentified Participant 1

When will this be sold? By the end of 2025?

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

We are hoping to do it a bit earlier because in Vietnam itself, we don't have that franchise. So in order to take over the Citi portfolio, there is a whole investment on the whole retail network, including digital. So it takes a bit longer, but we hope to do it probably in the first half.

Unidentified Participant 1

Just a follow-up on Citi and then I have one additional question. So I mean, Citi recently reported a lot of defaults in its credit card portfolio. Since this is a very big business that you are expanding, taking over from Citi, how are you aligning the management of potential defaults in unsecured loans that you took? And the third question is, can you share colors on the wealth management business, which have been doing very well and are you looking to build the more one? Thank you.

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

So it's true we had some [OD1] friction in Thailand. The portfolio was big. We have since addressed it. I think if you are in Thailand, we did have some issues where the service standard issues that we have. As a result, we diverted a lot of resources to stabilize that. That affected some of our collection effort. As a result, there was some spike in credits.

Technically, think about it, some of it is technical because when you slip into a number of days, you call it slipping from bucket one to bucket two. They are not MPLs yet. [ECL 182]. So those are technical. Now, we are trying to address that. Now, we are putting back. Once people collect it and we think that 80% of those, we can get it back. The other bucket of some of the things that was increased was because we harmonized our credits.

We took a more conservative stand between Citi and UOB. Because of that, there is a one-time pickup that we have in the specific credit cost. The third part is the industry problem, but it's actually a smaller part. I think you know that there are some changes in regulations where they are more stringent. The number of days brought forward earlier part of the year. That affected us. That is a smaller part of it that we talked about.

The big part of the increase really was because of the OD1 friction. Like I said, it's both a combination that we have to get our service standard right. Now, we are moving our people back to the collection and I think they are coming back. In fact, we are confident that 80% of it that we set aside, we think will come back over the next few months.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

On the wealth side, I think Singapore has a hub industry. ASEAN has grown, growing mass affluent at higher levels. We UOB, I think if you look at the day when we have (inaudible)

So we are one of the banks. But if you notice, most of the banks also do quite well. So it is a very competitive space, but I still believe our franchise is in ASEAN. So we continue to cross-sell. We continue to use our network of our customers, from SME sector, from different customer base across Singapore.

Of course, the real wealth is actually from North Korea, Hong Kong, China, Thailand, where we have relatively lesser franchise. So we have to depend on our end. So we are actively looking at South East Asia. But I believe at the end of the day, the basic fundamental for people coming to us is this. I don't quite believe that we are taking [RM] as just a product and we are selling the whole organisation, the customer base, I can say that for a year now. We are using our good customers to refer that research to our fundamental.

So I hope you can understand that rather than, yes, you continue to recruit good RM, it has to be in line with our culture and our values. Because wealth preservation is one of the key objectives that we want to engage our customers with, rather than just product push.

Yes, you can product push, depending on what kind of product you are pushing. Fine bond, investment grade bond is fine. But you don't want, because of the high commission, to push for speculative products. So, I believe this is our space and we are continuing to harness more from ourselves.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you, Mr. Wee. Next question, please. Next question from DH.

Unidentified Participant 2

So, on the increase in mortgage loans, were the yields lower or were they, I mean, because you said there was a 42% rise. So how did you get, I mean, did you gain market share? How did you get that, if you could?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

Well, I don't know. You know, the primary market is slow. So the last, for this year, we are focusing more on the secondary market. People who are competent, and the LGB generally, I would say, about 60%. So, the risk profile is acceptable to a competent mortgage. And then, I would say the margin is more or less the same. It is a market competitive, right? You have to win. So the volume has picked up a lot.

And also, not only that, our mortgage retention unit is also doing a good job of retaining customers. Because when your fixed rate is ill, right, people look for an opportunity to rebuy. So now, given the relationship, we are able to retain more customers. So that combination, the secondary plus retention, helped us to achieve the growth.

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

There was some, is there some pressure on the second margin? Talking about the second margin, it is really, I think, if you think about it, on a declining interest rate, right? We don't know when it happened, but most people know that. It might not be this quarter, next quarter, maybe next year, something like that.

So what we do is, we try and lock in longer term. Mortgage is one of those. It can extend two years, and we tested three years. It might not give you the premium that we talked about. Because in the market, people still can't differentiate. And they don't understand the interest rate. So put the market itself, that rate was declining.

So mortgage, that's why I say that the growth in all the fees and consumer, offset some of the competition in mortgage. So it's just a defensive, you could argue, that we have a lower margin to offset a possible higher decline if we had to do it. So this is what we're trying to do. In a declining interest rate environment, how do we lock in longer term assets? And many people will say that consumer is one. Wholesale, we're trying to do that. We're trying to extend term loans.

Hopefully, with the stability of outlook, whether it declines, we see some of those coming in. And the other part is your banking book. I think that's what many people do extend. So I think those are areas. And consumer is one of those strategies that we try to extend our assets.

Unidentified Participant 2

With the banking, with the securities portfolio, have you extended that ahead of them? Because we all know that the trend is going to turn.

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

So we, like we always guided, Singapore is quite unique for even the US today, that we are on the inverse yield curve. It's not an upward surprising, which means that if I extend today, I actually get a lower, whether you offset it. So we talked about it two years ago. You have done it two years ago. A lot of these bonds are maturing. And it has not turned, actually, worse off.

So it's actually quite bad. But at this point, I think the outlook is that, with the inflation in the US, being under control, that gap itself, we think, the curve will start to straighten or go back to normalize, probably shorter. So we are extending. Actually, we have extended. And at the recent LCO, we continue to extend. But I can say that there's also a market. At what price do I want to extend? Because if I extend at the market price, you hardly will make any money.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

You know, [Gulan], this is the impression of recent. There is no franchise. Your judgment call is very bold. I like no franchise. What we are building the bank is a franchise. That's when they will put the infrastructure. Grow our customer. You can see the CASA is growing. Even if you look at our name, it's actually good. Why? Because our deposit rate today is not as competitive as others.

But people are still putting money with us. Combination effect. Good customer service. The people say, yeah, I like your service. They will pay with us. The retention rate is high. Otherwise, there will be an outflow. If you look at our deposit, it's still stable. You can check around. I go to the branches. I check with them. They say, yeah, they like our service (inaudible)

And it's all small deposit. What's the difference? 0.5%. So service level becomes very important. We have to invest in infrastructure. We have to invest in TMRW. Our future. Make it easy for them. And we have a good RM. We have a good salespeople. We have various branches. These people will do often. When the interest rate up and down, they always come and go. This is where the franchise is.

Unidentified Participant 2

(inaudible) So has there been any competition like with [Trust Bank]?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

There are competition. But I think generally, if you look at the NPS score for tomorrow, it's quite high. You can see even the Citibank portfolio. I have a chart. You look at Citibank portfolio in Thailand. People who switch over to use our digital channel, it's actually quite high. I have the number here. Give you the number. (inaudible)

Also, the average. This is Citibank. They are very focused on the single product credit card. You look at Thailand, like our product. Every product holding increase from 30% to 30%. In other words, we are able to cross sell our Citibank cards to other products. Card store, I don't know. Because then we can reduce mortgage. This is where I think the cross-selling opportunity. (inaudible)

Thailand in particular. Now Thailand today is vulnerable to this. Facing some challenges. I believe as a country, they should be able to get out of it. Politics is one part of it. But I think they should be able to get out of it. The consumer debt is high. As long as there is employment situation, every country is focusing on FDI. Thailand is still very much a tourist hub. We continue to do that. I'm sure the situation will improve.

The next few quarters, I believe we can. We have been entirely positive over the years. We are going through the up and down.

Unidentified Participant 2

(inaudible)

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

Digitally, yes. I think it's 80% 90%. Because the Citi people are quite business. I mean looking at the generation and the quality of the customers. But I think the adoption is actually very high.

No, I have a statistic. You look at Malaysia. After the ODI, our operationally has grown. Our customer base is up by 3%. And you know when they merge with us, we have the [V-card, the U-V-card]. So the average product holding, ex-Citi based customer grew from 1.25% to 1.32%. CASA penetration from 30% to 28%. That is in Malaysia.

In Indonesia, also up 3% for the customer base. Spending is also improved. We are tracking all these things because that is our customer base that we want to expand.

In Thailand, it's flat because there's a bit of heating problem. But I believe the average product holding is actually increased from 13% to 30%. So I think the problem of Thailand is a heating problem. We are focusing on it. And this issue has been sorted out. Franchise remains intact. We have some win-back initiative because we underestimate volume. So the call center is not able to handle some customers. So we have actually stabilised.

And in fact, we are redeploying our salespeople to help with support. So as a result, the sales volume has gone down. But this is temporary. I don't believe. We have shifted them back already.

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

So we have stabilized the call center. We actually checked the customer feedback and promoters call very regularly. Through their segment, including social media feedback. I mean, we are quite happy that we have stabilised. And it will take time. We think that within the next one or two quarters, we are back to where Malaysia is.

Then we will look at growth. Which Thailand is a big market for us. So we are like jumping out of this thing.

Unidentified Participant 2

The attrition rate that you said was 10% (inaudible)

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

Actually, it's growing. (inaudible) No, no, no. No, we want to buy. We assume the 10% customer will exceed. But actually, on the contrary, customer actually is good.

Unidentified Participant 2

So you assume you have 100%?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

Yeah, now we are 100%.

Wai Fai Lee *United Overseas Bank Ltd - Chief Financial Officer*

I think what you are saying that the normal assumption of in-market merger is that there is customer overlap. As a result, some will drop off. So we are quite happy that yes, there is customer overlap. Maybe there are people who hold both city and UOB. But the good thing is the spending pattern is different. Maybe people hold city for a different purpose and they hold UOB for a different purpose. And that is why in the product, when we come out, we make sure that we satisfy the employee value proposition.

So if you keep both, you can issue a different card. The customer stays. But the number of customers will come down. Because from two customers become one. But the spending didn't come down. It has not come down. Spending has increased. And now when we go back into focusing, if you take the Malaysia example, now we are going back into looking at how we can get other kinds of benefits.

Cross-sell, CASA and all. In fact, the CASA opening, their base is actually a bit stronger. Their balances are bigger. And the wealth at cross-sell is better. So like Yishuang said, those are the assets that we are trending. So don't look at numbers. Numbers will come down because I have two customers, right? But more important is did the spending come down. And that's what we are focusing on.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you, [Gula]. So maybe we see whether -- yeah, next question from [Street Science. Jessica from ST].

Unidentified Participant 3

Just a follow-up question on CDE. In Vietnam specifically, are you seeing any new synergies from the integration in that market? And given that banks, UOB's digital network there is still quite new, what are the challenges you are seeing in servicing customers in that market?

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Like you said, our operation in Vietnam is pretty small. And I don't think we want to expand until our digital services. And that's why we have to get our tomorrow in by next year before we include this big expansion expectation.

Meanwhile, the Citi portfolio, and mainly Citi, we don't have UOB previously. It's the good news that it's stabilized. We didn't see fallout in there. And that continues to have new customers because our branding now is no longer just Vietnam.

Our branding was really a regional. So I mean, we spoke about this in the meantime. When Taylor Swift came out for the first time, I had queues in my Vietnam [brush]. It never happened. So it's not only the Vietnam proposition, but it's the regional proposition now that's affecting that. So we have to take some time.

Today is still small, but at least we're getting our franchise, we're getting our branding in. And hopefully by next year, once the digital tomorrow is in, then you'll see a more holistic, aggressive marketing expansion that we did in Thailand and Malaysia.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

I think this is something I want all of you to imagine. Why I end up with a Korean brand? It's a Woori Card. It's a big customer, big credit card. So the Korean customers have to (inaudible)

So fundamentally, you have to ask yourself, right? We are, the acquisition is outside the circle. We have so many domestic brands, Thailand, Malaysia, why do you want to hold it? There must be something that you want to do. It's a lifestyle card. We are exposed to the region, right? We have concerts like this. We can go to Korea. We can link up all this connectivity, I keep saying. Otherwise, what's the difference?

That is important. And this is where we are spending our infrastructure, technology, our regional marketing effort is to create that we are the regional card. Don't just view us as a Thai card, Malaysian card, Indonesian card. This thing will, you can see the momentum, but it will continue to be better and better because people see your customer base has improved.

There are many people want to talk to you. Marketing agent for the concert, they also want to take advantage of our customers. This is where we are coming from. You ask today, how many banks can do it? How many banks? They don't have the footprint. And they don't have the standardization and infrastructure. I talked about it for the last month.

Now everything is complete. You look at our whole thing, right? Our offshore income is coming in. Our connectivity, our cash management is all coming in. Without the proper infrastructure system, you can't do it. This is not overnight. It took us years to build all this infrastructure.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you, [Jessica]. Do you have a follow-up question?

Unidentified Participant 3

Just a follow-up question on NIM and the outlook for interest income as well. Given that now rates are more likely to, there's a high probability of rates coming down in the coming quarter.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

I think coming down is good for the economy. And generally, it's not (inaudible) We have to pick up a little bit. So I would say it's positive. How much, how strong is that? Frankly, I don't know. You can see all the debate in the Federal Reserve. But how strong is maybe one or two countries (inaudible)

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Maybe just to add on to what you're trying to say. How fast interest rate will come down will be a function of how much we are spending. I think most of the time, talk about a gradual time. Also, you're talking about 50 basis points for this year and 1% for next year. I think those are things that we can handle. Because that's the normalized time. That's actually good for the economy.

So we are more optimistic on volume with that. And I think the volume improvement will more than offset any margin decline, which I think will be gradual. We are managing that. In the same way we managed it when interest rate was going up. Now, we'll watch interest rate coming down. But like I said, it's something that we will have to manage.

Unidentified Participant 3

Thank you. On the credit cycle, the credit costs, is there anything you can tell us? (inaudible)

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Okay, so I think -- so the first question on that is always US, China, or Hong Kong. So I think the US part, we are watching, but our proposal is not very clear. And we have taken quite a fair deal of hit in the last, actually, one and a half years. So we will have some coming up, but I don't think it's good. Hong Kong is where the concern is.

Okay, but if you look at what's happening in the industry today, the activities, but the valuations are coming down. So this is a process where now we are actually working with customers. We are actually comfortable with our LTVs.

Okay, look at my Hong Kong portfolio. On the average, the commercial real estate LTVs are 49%. Hong Kong itself is 31%. So I can take a lot of hit. So you might see us now, aging customers, to go and do restructuring. I know the technical part of restructuring. I don't have any loss. But once you go to restructuring, I've got to classify them as NPR. Okay, that's the problem.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

The credit loss will not happen because the LTVs can be about 39%.

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

So in fact, I mean, you will argue whether it's positive or negative. So you can do an action now (technical difficulty) but your NPR goes up. And if you don't do, my NPR stays down. And I do it later, I might let it go down. So that's the dilemma. So I think we are on top of the Hong Kong customer. So we are quite comfortable.

And I always say that on top of that, I have added general provision to my commercial real estate portfolio to ensure that if I get hit, the credit cost will not be impacted. That's why we are very comfortable guiding the credit cost at the low end of the LTV system.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you, Mr. Lee. I think we have a question.

Unidentified Participant 1

Can we just follow up on the ST question on name outlook, given the current rate outlook? So what name are you seeing for 2024?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

It would be stabilized at this rate.

Unidentified Participant 1

Like [2.05]?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

What is the number we are finding now?

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

2.05 was our second quarter. Yes, we try to hold that because the problem we have was that we are very proactive of managing FD costs ahead of the cycle. So technically, we have reached a stage where people still keep money with us despite the lower, but there's a limit how much that goes.

So holding 2.05? So we think that's something that we do and if rates actually come down, we have to watch our whole deposit velocity all over again. But we think that we can hold it at that level. Because if you're talking about rate hikes in the third quarter, most people talk about September, I think.

Second quarter, I'm actually quite comfortable. I mean third quarter, then it's the fourth quarter thing that we are watching. But we are hopeful that should there be a slight drop, I don't think it will be drastic. The volume will more than offset that. That's what we see happening.

Wendy Wan United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand

Thank you. We probably have time for one last question from BT.

Unidentified Participant 4

Yeah, and I feel like you get this question every quarter, but I've heard some chatter that you might be retiring soon. I don't know if you have any comments on that point.

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

If you're retiring, I'm asking. I'm happy to answer you.

Unidentified Participant 4

Yeah, but yeah, any comments on the fact that I've heard some chatter that you might be retiring quite soon. So any comments?

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Retiring quite soon?

Unidentified Participant 4

Yeah.

Wai Fai Lee United Overseas Bank Ltd - Chief Financial Officer

Well, it will be a matter of time. I will have to -- but the important thing is no one is giving up easily. So the succession can wait. We fought the battle, all of us, including myself. And we fought the battle. We have to prepare for the new crowd. We need to energise the organization.

But importantly, we need to carry the culture on board. We've seen so many battles. It's much longer history than time. But we keep changing. It doesn't benefit the shareholder. It doesn't benefit the customer. Change of direction.

What we want is stability. Progressive with stability. That, to me, is important. As a major single shareholder, this is what I believe in (inaudible) It's not so much I'm going on. But at some point, we all have to go on.

Unidentified Participant 4

(inaudible)

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer

(inaudible)

We are introducing some of our new colleagues. These are the potential future leaders of the bank. We don't want surprises. We want them to grow together with us. We have a combination of old guard and new guard. That's the only practical way.



Unidentified Participant 4

The appointment of Miss Susan Lee last week. Does it mean that she's elevated as a contender for your role?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman and Chief Executive Officer*

(inaudible)

Wendy Wan *United Overseas Bank Ltd - Senior Vice President, Group Strategic Communications and Brand*

Thank you, Mr. Wee. I think that was a very fruitful conversation. That also concludes our results announcement today. Thank you everybody for joining us this morning. And we wish you a good day ahead. Thank you.



DISCLAIMER

The London Stock Exchange Group and its affiliates (collectively, "LSEG") reserves the right to make changes to documents, content, or other information on this web site without obligation to notify any person of such changes. No content may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of LSEG. The content shall not be used for any unlawful or unauthorized purposes. LSEG does not guarantee the accuracy, completeness, timeliness or availability of the content. LSEG is not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the content. In no event shall LSEG be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the content even if advised of the possibility of such damages.

In the conference calls upon which Summaries are based, companies may make projections or other forward-looking statements regarding a variety of items. Such forward-looking statements are based upon current expectations and involve risks and uncertainties. Actual results may differ materially from those stated in any forward-looking statement based on a number of important factors and risks, which are more specifically identified in the companies' most recent SEC filings. Although the companies may indicate and believe that the assumptions underlying the forward-looking statements are reasonable, any of the assumptions could prove inaccurate or incorrect and, therefore, there can be no assurance that the results contemplated in the forward-looking statements will be realized.

LSEG assumes no obligation to update the content following publication in any form or format. The content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. LSEG does not act as a fiduciary or an investment advisor except where registered as such.

THE INFORMATION CONTAINED IN TRANSCRIPT SUMMARIES REFLECTS LSEG'S SUBJECTIVE CONDENSED PARAPHRASE OF THE APPLICABLE COMPANY'S CONFERENCE CALL AND THERE MAY BE MATERIAL ERRORS, OMISSIONS, OR INACCURACIES IN THE REPORTING OF THE SUBSTANCE OF THE CONFERENCE CALLS. IN NO WAY DOES LSEG OR THE APPLICABLE COMPANY ASSUME ANY RESPONSIBILITY FOR ANY INVESTMENT OR OTHER DECISIONS MADE BASED UPON THE INFORMATION PROVIDED ON THIS WEB SITE OR IN ANY SUMMARY. USERS ARE ADVISED TO REVIEW THE APPLICABLE COMPANY'S CONFERENCE CALL ITSELF AND THE APPLICABLE COMPANY'S SEC FILINGS BEFORE MAKING ANY INVESTMENT OR OTHER DECISIONS.

Copyright ©2024 LSEG. All Rights Reserved.